

ASCII MASTER FLOW – PANEL 1/12: WHY BANKING NEEDS SPECIAL REGULATION

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| Public deposits -> payment promise -> loans/investments -> growth |
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|           v           v           v           |
| runnable liability  settlement risk  credit + market risk |
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| Balance sheet: deposits/borrowings/capital = liabilities and funding |
|                   cash/RBI balances/loans/investments = assets      |
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| Transformation: short/withdrawable funding -> longer, illiquid, risky assets |
| Constraint: capital + liquidity + underwriting + demand + regulation      |
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ASCII MASTER FLOW – PANEL 2/12: LEGAL CLASSIFICATION BEFORE OWNERSHIP

Banking Regulation Act 1949 s.5(b): public deposits for lending/investment,	
repayable on demand or otherwise and withdrawable by cheque/draft/order/etc.	
RBI Act 1934 Second Schedule <---+---> scheduled bank	
s.42(6): Rs 5 lakh capital+reserves floor; depositor-interest test	
Not in Schedule = non-scheduled bank, not an unlicensed or unregulated entity	
Separate axes: scheduled/non-scheduled commercial/co-operative ownership	
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ASCII MASTER FLOW – PANEL 3/12: COMMERCIAL AND RURAL BANK MAP

COMMERCIAL: PSB private Indian bank foreign branch / local WOS	
Common: RBI licence and prudential supervision; different owner/governance law	
RRB Act 1976: 50:35:15 = Union 50% + sponsor bank 35% + State 15%	
-> local rural deposits and credit -> RBI banking regulation + NABARD role	
Ownership supplies capital; board oversees; management lends; RBI supervises	
Trap: public ownership is not prudential regulation or sound management	
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ASCII MASTER FLOW – PANEL 4/12: CO-OPERATIVE BANKING AND 2020 AMENDMENT

Co-operative form: State law / Multi-State law -> members, elections, bye-laws	
Banking function: BR Act s.56 -> RBI licence, prudence, supervision, resolution	
Banking Regulation (Amendment) Act 2020	
UCB provisions effective 29 Jun 2020; StCB/DCCB provisions 1 Apr 2021	
-> stronger RBI governance, capital and reconstruction powers	
-> registrar functions survive: recalibrated dual control, not total abolition	
PACS are not automatically banks or DICGC-insured institutions	
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ASCII MASTER FLOW – PANEL 5/12: DIFFERENTIATED BANKS

LAB: local deposits + local credit within a limited geographic model	
SFB: deposits + lending	
-> PSL overall 60% of ANBC/CEOBE from FY 2025-26 (RBI, 20 Jun 2025)	
-> >=50% loan portfolio up to Rs 25 lakh: Licensing Guidelines 28-11-2025	
Payments Bank: current/savings deposits + payments/remittances	
-> max Rs 2 lakh per customer end-day (Directions updated 1 Apr 2026)	
-> no own-balance-sheet lending; no credit cards	
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ASCII MASTER FLOW – PANEL 6/12: INCLUSION DELIVERY

Bank -> appoints and remains responsible for Business Correspondent	
BC -> last-mile cash/account/remittance interface; agent, not deposit principal	
Priority Sector Lending -> portfolio allocation to notified sectors	
Most domestic banks: 40% overall under direction effective 1 Apr 2025	
SFB: 60% overall from FY 2025-26; ratio is regulatory, not constitutional	
Access -> usage -> suitable credit -> income/repayment -> durable inclusion	
Trap: account/target completion alone does not prove welfare outcome	
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ASCII MASTER FLOW – PANEL 7/12: REGULATORY LIFECYCLE AND PCA

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| Entry: BR Act s.22 licence -> prudential/conduct rules -> reporting/inspection |
| -> enforcement -> reconstruction/amalgamation under applicable banking law |
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| PCA circular 2 Nov 2021; effective 1 Jan 2022 for covered SCBs |
| monitors CRAR/CET1 | NNPA 6/9/12% bands | Tier-1 leverage |
| actions: dividends/capital -> branches -> capex + discretionary risk controls |
| exit: four continuous clean quarters incl. one audited + RBI comfort |
| PCA != resolution != DICGC payout |
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ASCII MASTER FLOW – PANEL 8/12: DICGC SAFETY-NET BOUNDARY

DICGC Act 1961 -> statutory deposit insurer; wholly owned RBI subsidiary	
Limit effective 4 Feb 2020: Rs 5 lakh, principal + interest	
Unit: per depositor per bank, same right and same capacity, all branches	
Different banks -> separate bank-wise cover; distinct legal capacity may differ	
Covered: eligible bank deposits in insured commercial/RRB/LAB/co-op banks	
Excluded: NBFC deposits, securities, mutual funds, insurance products	
Safety chain: supervision -> PCA -> resolution -> insured reimbursement	
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ASCII MASTER FLOW – PANEL 9/12: NBFC IDENTITY AND LIABILITY AXIS

RBI FAQ updated 29 Apr 2026: principal business = 50-50 test	
financial assets >50% total assets AND financial income >50% gross income	
General registration NOF Rs 10 crore from 1 Oct 2022; transition 31 Mar 2027	
NBFC-D: specifically authorised public deposits no DICGC	
NBFC-ND: no public deposits may use banks, CP, debentures, group funding	
Ordinary NBFC: no demand deposits, own cheques or payment-system membership	
Credit claims may expand; bank-deposit money creation remains distinct	
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ASCII MASTER FLOW – PANEL 10/12: SCALE-BASED REGULATION

RBI SBR Directions 2025, updated 1 Jul 2026	
BASE: ND below Rs 1,000 cr + P2P + AA + NOFHC + Type-I	
MIDDLE: all NBFC-D + ND Rs 1,000 cr+ + SPD/IDF/CIC/HFC/IFC	
UPPER: audited assets Rs 1,00,000 cr+ (Second Amendment, 24 Jun 2026)	
TOP: expected empty; exceptional severe-risk escalation	
Logic: size + activity + perceived risk -> stronger governance/prudence	
Trap: size alone does not place every specialised NBFC	
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ASCII MASTER FLOW – PANEL 11/12: SPECIALISED NBFC AND SYSTEMIC-RISK MAP

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| CIC 90/60 group exposure | HFC 60/50 housing | MFI 75%, income <=Rs 3 lakh |  
| Factor 50/50 assets/income | P2P no own lending/guarantee | AA data-only consent |  
|  
| Wholesale short funding -> long assets -> rollover shock -> fire sale |  
| -> mutual funds + banks + bond market + borrowers -> systemic contagion |  
| Named evidence: IL&FS 2018 and DHFL stress |  
| Response: ALM + liquidity + concentration + group supervision + conduct rules |  
| Trap: shadow banking is non-bank intermediation, not necessarily illegal finance |  
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ASCII MASTER FLOW – PANEL 12/12: DFI MAP AND MAINS ANSWER SPINE

NABARD (1982): agriculture/rural refinance, development and rural supervision	
SIDBI (2 Apr 1990): principal MSME promotion, finance and development body	
NaBFID Act effective 19 Apr 2021: infrastructure DFI; RBI AIFI oversight 2022	
ANSWER: classify entity -> map liabilities/assets -> trace mismatch/contagion	
-> assign owner/board/management/regulator/DICGC -> test inclusion and conduct	
-> choose proportional prudence + consolidated supervision + credible exit	
Verdict: preserve diversity; regulate equivalent risk equivalently	

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